
ECONOMICS

0455/11

Paper 1 Multiple Choice

**Predicted
Advanced**

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are thirty questions on this paper. Answer all questions.
- For each question there are four possible answers A, B, C and D. Choose the one you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do not use correction fluid.
- Do not write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
 - Each correct answer will score one mark.
 - Any rough working should be done on this question paper.
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This document has 12 pages. Any blank pages are indicated.

- 1 An economy is on its PPC producing capital goods and consumer goods.
Which change in the PPC represents economic growth caused by a rise in labour productivity only?
- A inward shift of the whole curve
 - B outward shift of the whole curve
 - C outward rotation only of the capital-goods axis
 - D outward rotation only of the consumer-goods axis
- 2 A farmer can produce 80 tonnes of wheat OR 50 tonnes of barley on a fixed plot of land.
If the farmer currently produces 60 tonnes of wheat, what is the maximum output of barley assuming a linear PPC?
- A 12.5 tonnes
 - B 15 tonnes
 - C 20 tonnes
 - D 25 tonnes
- 3 The cross-price elasticity of demand between butter and margarine is +1.8.
What does this indicate?
- A butter and margarine are complements
 - B butter and margarine are close substitutes
 - C butter and margarine are distant substitutes
 - D butter and margarine are independent goods
- 4 A good has income elasticity of demand of -0.4 .
If consumers' real incomes rise by 10%, by how much does demand change?
- A falls by 0.04%
 - B falls by 4%
 - C rises by 4%
 - D rises by 40%

- 5** A tax is imposed on a good with perfectly inelastic demand.
Who bears the entire tax burden?
- A** consumers
 - B** government
 - C** producers
 - D** shared equally
- 6** In a market, a fall in the equilibrium price is accompanied by an increase in equilibrium quantity.
Which single change is consistent with this?
- A** a leftward shift in demand
 - B** a leftward shift in supply
 - C** a rightward shift in demand
 - D** a rightward shift in supply
- 7** A market produces a good with a positive externality of consumption.
Which best describes the free-market outcome compared with the socially optimum outcome?
- A** over-production and price too low
 - B** over-production and price too high
 - C** under-production and price too low
 - D** under-production and price too high
- 8** Which action would most reduce information failure in a market for health insurance?
- A** banning price comparison websites
 - B** removing consumer protection laws
 - C** requiring firms to publish standardised policy details
 - D** subsidising the sale of insurance products

- 9** A firm produces 1 000 units at average variable cost \$6 and average fixed cost \$4. Total revenue is \$12 000. What is the firm's total profit?
- A** -\$2 000
 - B** \$2 000
 - C** \$6 000
 - D** \$10 000
- 10** Which combination is most likely to cause an increase in labour productivity in a factory?
- A** cutting workers' training budgets and reducing capital investment
 - B** extending the working day and cutting supervision
 - C** investing in new machinery and providing staff training
 - D** reducing wages and removing performance incentives
- 11** A monopolist has barriers to entry. Which is least likely to act as a barrier to entry?
- A** control of a raw material
 - B** economies of scale
 - C** patent rights
 - D** product differentiation through branding in a contestable market
- 12** A firm's marginal cost equals its marginal revenue. What does this indicate in the short run?
- A** it is breaking even
 - B** it is loss-making
 - C** it is profit-maximising
 - D** it is revenue-maximising

13 Which of the following is most likely to lead to a trade union successfully negotiating a wage increase?

- A** a fall in the demand for the firm's product
- B** a high proportion of firm's costs being wages
- C** a highly competitive labour market with low union density
- D** rising labour productivity and profitable firms

14 A central bank cuts the bank rate.

Which is the most likely sequence of effects on the economy?

- A** loans cheaper → investment and consumption rise → AD rises
- B** loans dearer → investment falls → AD rises
- C** money supply falls → prices rise → AD falls
- D** saving rises → consumption falls → AD falls

15 Suppose in a given year nominal GDP rises by 7% and inflation is 4%.

By approximately how much has real GDP risen?

- A** about 3%
- B** about 4%
- C** about 7%
- D** about 11%

16 An economy experiences stagflation.

Which policy combination is best suited to tackle it?

- A** expansionary fiscal and expansionary monetary policy
- B** expansionary fiscal and contractionary monetary policy
- C** contractionary fiscal and contractionary monetary policy
- D** supply-side policies to raise productivity and lower costs

17 Higher interest rates are likely to cause which of the following, in the short run?

- A** a currency appreciation and a fall in net exports
- B** a currency depreciation and a rise in net exports
- C** a rise in consumption and investment
- D** an increase in the inflation rate

18 A progressive tax system helps to reduce income inequality.
Which criticism is most commonly levelled against it?

- A** it collects the same percentage from all taxpayers
- B** it disproportionately burdens low-income households
- C** it may discourage work and enterprise at higher income bands
- D** it raises no revenue for the government

19 A country's government deficit increases sharply during a recession.
Which is the most likely automatic cause?

- A** cut in the rate of indirect taxes
- B** fall in tax revenue and rise in unemployment benefits
- C** rise in government capital investment
- D** rise in interest payments on new debt

20 A country has a high Gini coefficient.
What does this indicate?

- A** a highly equal income distribution
- B** a high level of environmental pollution
- C** a highly unequal income distribution
- D** a low rate of economic growth

- 21** A country experiences rapid population growth without a matching rise in food production. Which is most likely to result?
- A** a fall in dependency ratio
 - B** a rise in real incomes per head
 - C** greater food security
 - D** pressure on living standards and possible food imports
- 22** Which chain of events best describes the 'virtuous circle' of development?
- A** high investment → higher productivity → higher incomes → higher saving → more investment
 - B** high population → low saving → low investment → low growth
 - C** low investment → low productivity → low incomes → low saving
 - D** rising exports → currency appreciation → falling exports
- 23** A country is initially in current account balance. If it imposes import tariffs while trading partners retaliate with equal tariffs, what is the most likely result?
- A** an improvement in the current account
 - B** lower domestic prices
 - C** no change in trade volumes
 - D** a fall in world trade volumes and ambiguous effect on its current account
- 24** A country has a floating exchange rate. The central bank does not intervene. A sustained rise in demand for the country's exports will cause:
- A** a depreciation of the currency
 - B** an appreciation of the currency
 - C** no change in the exchange rate
 - D** a fall in domestic prices

- 25** A developing country has primary product dependence.
Which is the most likely long-term risk to its economy?
- A** rising export revenues in line with global demand
 - B** stable terms of trade
 - C** volatility of export earnings due to commodity price fluctuations
 - D** rapid growth of the secondary sector
- 26** A country deploys a J-curve effect after a currency depreciation.
Which best describes the J-curve?
- A** an immediate improvement, then deterioration of trade balance
 - B** an immediate deterioration, then improvement of trade balance
 - C** a permanent improvement of trade balance
 - D** no change in trade balance
- 27** A Marshall–Lerner condition is satisfied when:
- A** the sum of PED for exports and imports exceeds 1
 - B** export and import prices are equal
 - C** a country has a current account surplus
 - D** the exchange rate is fixed
- 28** In the short run, which is the least likely outcome of free trade for an economy moving from protection to free trade?
- A** job losses in previously protected industries
 - B** lower prices for consumers
 - C** reallocation of resources toward areas of comparative advantage
 - D** immediate elimination of structural unemployment

29 A country joins a customs union.

Which statement is correct?

- A** all member countries adopt a single currency
- B** internal tariffs are removed and a common external tariff is applied
- C** internal tariffs are retained but capital mobility is allowed
- D** members must allow free movement of labour

30 Which combination of aims of government is most likely to conflict in the short run?

- A** low unemployment and low inflation
- B** price stability and economic growth
- C** economic growth and environmental sustainability
- D** all of the above

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